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iii) Accuracy

Computers perform functions with high degree of accuracy. If hardware, software and input by people are proper, the computerised accounting system can assure of accurate outcome.

iv) Reliability

Computers are used to process large volumes of data and hence, data provided by it are reliable.

v) Versatility

Computer and accounting software have the ability to perform diverse tasks. For example, by simply recording accounting entries through accounting software, one can get trial balance, trading account, profit and loss account, balance sheet and diverse reports.

vi) Transparency

With computerised accounting, the organisation will have greater transparency of day-to-day business operations and access to the vital information.

vii) Scalability

CAS enables processing of any volume of data in tune with the change in the size of the business.

viii) On-line facility

CAS offers online facility to store and process transaction and data so as to retrieve information to generate and view financial reports in any part of the world.

ix) Security

In CAS, only the authorised users are permitted to have access to accounting data. Under manual accounting system, it is very difficult to secure such information as it is open to inspection by any person dealing with the books of accounts.

14.2.2 Components of Computerised Accounting System

Components of CAS can be classified into six categories, namely, i) Hardware ii) Software iii) People iv) Procedure v) Data and vi) Connectivity.

i) Hardware

The physical components of a computer constitute its hardware. Hardware consists of input devices and output devices that make a complete computer system. Examples of input devices are keyboard, optical scanner, mouse, joystick, touch screen and slylus which are used to feed data into the computer. Output devices such as monitor and printer are media to get the output from the computer.